



of 81-84 per cent with electricity, gas, steam and telecommunications scoring the highest.

A growing number of companies are taking up ESG targets as part of their CSR activities, with India Inc. spending ₹1 lakh crore on CSR over the last seven years, according to the Ministry of Corporate Affairs. But that's not enough. "Indian companies seem to remain largely traditional in the way they are run, with low gender diversity (women account for typically less than a fifth of the board) and independence (below 50 per cent), as many entities are family-controlled. In addition, sustainability expertise could be the exception rather than the norm among directors," says Bertrand Jabouley, a Sustainable Finance Analyst at S&P Global Ratings.

Sustainability reporting, too, isn't very common among them. Of the 586 companies CRISIL studied for its Sustainability Yearbook, 2022, only a fifth published their sustainability reports in FY21. Even the Task Force on Climate-related Financial Disclosures notes that only 63 of the 1,641 companies listed on the NSE have adopted its voluntary climate-related reporting framework.

To motivate businesses to focus on ESG, the government and industry associations are using markets regulator Sebi's Business Responsibility and Sustainability Reporting (BRSR) framework as an ideas exchange and impact leadership platform. While BRSR reporting was voluntary in FY22, it is mandatory in FY23, and will apply to the top 1,000 listed entities by market capitalisation.

"BRSR has definitely sowed the seeds of transparency, measurability and verifiability of impacts created by organisations for stakeholder ecosystems that matter," says Saugata

GREEN WARRIORS

Top performers on different parameters and their scores

ENVIRONMENT SCORE 76-92%

Computer programming firms and tobacco manufacturers

SOCIAL SCORE 69-73%

Computer programming and financial services companies

GOVERNANCE SCORE 81-84%

Electricity, gas steam and telecommunications companies

SOURCE: ESGRISK.AI

BRSR REPORTING

Business Responsibility and Sustainability Reporting (BRSR) was voluntary in 2021-22; it is mandatory for 2022-23, and will apply to the top 1,000 listed entities by market capitalisation

Gupta, MD and CEO of FMCG major Marico. This has enabled Marico to expand the boundaries of ESG data architecture to improve the credibility, authenticity and quantification of outcomes across various sustainable value creation programmes, he adds.

But given the large ecosystem, covering just 1,000 companies isn't enough, say experts. For wider adoption of ESG compliance, the government and industry associations should consider making BRSR mandatory for private, unlisted companies, say experts. "In order to drive the ESG agenda, banks should build ESG compliance as a part of their lending framework. Equity and debt market funds can also ask for the same," says Preety Kumar, Managing Partner at executive search firm Amrop India. She adds that Sebi can also extend BRSR reporting to companies applying for listing. "Non-compliant companies should not be allowed to list."

Businesses are realising that those which embrace ESG will reap significant benefits in terms of finding new customers for their offerings, improving price points and customer loyalty. According to Anshuman Magazine, Chairman and CEO—India, South-East Asia, Middle East & Africa, CBRE—the commercial real estate services provider included in the Dow Jones Sustainability World Index that helps clients to tackle the key challenges of transitioning to a compliant framework—ESG is far beyond mere good intentions. "It is about creating a tangible plan that achieves real and measurable results."

In the pages that follow, read about India Inc.'s journey towards sustainability and what more needs to be done. **BT**

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